

MANDAR DEODHAR



MILIND SAWANT Mumbai

Profession: Runs his own stock market franchise and consultancy firm

Approximate monthly income:

Rs 40,000

No. of family members: 5

Sawant's family is spending between Rs 10,000 and Rs 12,000 on food every month. With the prices of dal touching Rs 100 a kg, they are also staying away from this staple of their diet.

"I have stopped giving a hard copy of contracts to my clients. I prefer to email them. This saves paper."

REUBEN SINGH

Cruel Joke

The parameters of calculating WPI are hopelessly outdated

Prices soaring and a negative rate of inflation; there's something decidedly odd here. It has partly to do with the curious, and outdated, basket of goods that the Wholesale Price Index (WPI) is calculated on. Crazy enough, it includes items that are no longer around or barely seen, like Double Horse Scotch Whisky, Old Port Dix Rum, Dalda, Rath, Suraj Tarun, Panghat and Asoka brands of edible oil, Keo Karpin hair oil, Forhans and Cibaca toothpaste. The WPI's base year is 1993 and hasn't been changed even though consumer preferences have. It lists items like pagers, which may have been around in 1993 but are hardly seen these days. Scooters are also part of the WPI even though motorcycles are a more popular mode of two-wheeled transport. Even the five brands of liquor it includes are no longer visible on retail shelves. The Government says it is planning a new, updated WPI by the year-end with 2004-05 as the new base year, but till then, continue to raise a toast to the paradox—with Double Horse Whisky.

shrinking acreage. Also, states like Maharashtra use a traditional variety of green gram, black gram, wheat and soyabean, which results in lower yields compared to hybrid crops planted in states like Punjab and Haryana. In Uttar Pradesh, the largest cane-growing state in the country, non-payment of dues to cane growers forced a substantial percentage to shift to wheat. Sugarcane cultivation came down to below 20 lakh hectares from 27 lakh hectares last year. Speculators and hoarders sensed the opportunity and stocked sugar in large quantities, leading to a hike in prices.

Every crisis in India is an opportunity for crooks. One reason for rising food prices, apart from the collapse of the PDS, is hoarding. Middlemen have made the most of a worsening situation by taking advantage at the expense of producers and consumers. Some states have announced a minimum support price of Rs 35 for red gram, which should ensure that the price does not exceed Rs 45. But prices range between Rs 75 and Rs 95. "Middlemen and commission agents are procuring the commodity in large quantities and creating an artificial scarcity leading to the doubling of prices in a year," says Professor K.R. Chowdhary, an agricultural economist.

In Madhya Pradesh, the state Government has seized more than 45,000 quintals of sugar in 425 raids across the state, bringing down the price of sugar by almost Rs 3 per kg. In Maharashtra, the Government conducted raids and seized nearly 10,000 quintals of sugar, Tur dal and oil seeds worth nearly Rs 100 crore. In Chhattisgarh, the Government has seized pulses worth Rs 10 crore. Illegal stocks of over 40,000 quintals of gram were also seized. The impact, however, is debatable. In Maharashtra, sugar continues to sell between Rs 35 and Rs 40 per kg, while the price of Tur dal starts at Rs 80 and goes up to Rs 120 per kg.

The blame for such a situation can be put on the collapse of the PDS, says Mahendra Dev, chairman, Commission for Agricultural

"India will import food items such as edible oil and lentils to meet the shortage. We have stocks of wheat and rice from last year's harvest."

PRANAB MUKHERJEE, Finance Minister

